Business Environment & Ethics - Set 11

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. The term "License Raj" refers to
A. Free trade after 1991
B. Tax holidays for exporters
C. Foreign investment rules
D. Excessive licensing and controls in the pre-1991 economy

Case: Water at the Railway Station: At a railway station, a shopkeeper sells a bottle of packaged drinking water with a printed MRP of Rs. 20 for Rs. 30, saying 'take it or leave it'. A traveller objects and says the bottle also does not show any food safety licence number.

2. Consumer law has moved away from 'caveat emptor' towards the idea that the:
A. Buyer alone bears all risk
B. Government fixes all prices
C. Seller must also take responsibility ('let the seller beware')
D. Sale cannot be challenged

3. John Rawls' theory of justice as fairness uses the idea of the
A. Invisible hand
B. Iron law of wages
C. Social contract of profit
D. Veil of ignorance

4. Before setting up a polluting industry, a firm generally needs from the State Pollution Control Board a
A. Trade licence only
B. Export licence
C. Consent to Establish
D. Patent

Case: Meena's Two Worlds: Before 1991, Meena's family waited years for a scooter or a telephone connection, and choices were limited. Today she can choose from many brands, including foreign ones, and from several mobile plans regulated by TRAI. Services now contribute the largest share of India's GDP.

5. The sector with the largest share in India's GDP now is:
A. Services
B. Agriculture
C. Mining
D. Manufacturing

6. Mixing cheaper or harmful substances in food or goods is called
A. Adulteration
B. Branding
C. Packaging
D. Franchising

7. Which of the following is typically included in a code of ethics?
A. Dividend rate
B. Product price list
C. Conflict of interest policy
D. Sales targets

Case: Rahul's Shopping List: Rahul buys a pressure cooker, a jar of honey and a gold necklace. He looks for quality marks on each: a mark from the national standards body on the cooker, a mark for agricultural produce on the honey, and a hallmark on the necklace.

8. The mark for agricultural produce on the honey is:

A. Agmark
B. ISI mark
C. Hallmark
D. Eco mark

9. The principle of equal pay for equal work for men and women is found in Article ___ of the Indian Constitution.

A. 39(d)
B. 14 only
C. 21A
D. 370

10. After the reforms, the share of foreign trade in India's GDP

A. Decreased
B. Remained unchanged
C. Became zero
D. Increased

11. The repo rate is the rate at which

A. Commercial banks lend to the public
B. The RBI lends short-term funds to commercial banks
C. The RBI borrows from commercial banks
D. Banks lend to each other

Case: Skyline BPO: A Complaint at Work: An employee at Skyline BPO complains that her manager repeatedly makes unwelcome remarks and advances. The firm has more than ten employees. It must now follow the law on sexual harassment at the workplace and ensure that the complaint is handled fairly.

12. Under this law, the firm must set up an:

A. Audit Committee only
B. Marketing Committee
C. Merger Committee
D. Internal Committee

13. GST replaced several indirect taxes such as

A. Excise duty, VAT and service tax
B. Corporate tax and wealth tax
C. Stamp duty and income tax
D. Customs duty and corporation tax

14. The CSR provisions of the Companies Act came into effect in India from

A. 1 April 2013
B. 1 April 2016
C. 1 January 2015
D. 1 April 2014

15. When senior managers consistently model honest behaviour so that employees follow, it is called

A. Autocratic leadership
B. Ethical leadership
C. Laissez-faire leadership
D. Bureaucracy

Case: AgriMart Online: AgriMart, an online platform selling seeds and fertilisers to farmers, is preparing its annual plan. The government has suddenly banned the export of onions, which has hit farm incomes. At the same time, smartphone use in villages has grown rapidly. The management uses a PESTLE chart to organise these external developments but admits that the chart must be refreshed regularly.

16. The rapid rise in rural smartphone use is a:

A. Technological factor
B. Political factor
C. Legal factor
D. Economic factor only

Case: Aarav Pharma: Shareholders versus Stakeholders: At the annual meeting of Aarav Pharma, some shareholders argue that the firm's only duty is to maximise profit within the law. The CEO disagrees, saying that employees, patients and the local community also matter. She announces a low-cost medicine range for rural patients and a plan to report on people, planet and profit.

17. The CEO's stand is closest to:

A. Stakeholder theory
B. Pure shareholder theory
C. Profit-only theory
D. Scientific management

18. Procedural justice means

A. Giving equal pay
B. Punishing offenders
C. Using fair processes in making decisions
D. Paying taxes

19. The Institute of Chartered Accountants of India issues a Code of Ethics for its

A. Customers only
B. Suppliers
C. Members
D. Competitors

Case: A Listed Company's Disclosures: A listed company regularly publishes its quarterly results, executive pay and related-party transactions, and explains major decisions to investors. Analysts say this has raised investor confidence. The disclosures follow the listing rules framed by the securities regulator.

20. The regulator whose listing rules the company follows is:

A. RBI
B. TRAI
C. IRDAI
D. SEBI

21. A restrictive trade practice is one that

A. Manipulates price or delivery conditions to impose unjustified costs on consumers
B. Reduces prices for customers
C. Gives free samples
D. Offers genuine discounts

Case: A Listed Company's Disclosures: A listed company regularly publishes its quarterly results, executive pay and related-party transactions, and explains major decisions to investors. Analysts say this has raised investor confidence. The disclosures follow the listing rules framed by the securities regulator.

22. The company's practice of open disclosure reflects:

A. Secrecy
B. Transparency
C. Greenwashing
D. Cost cutting

23. Which of the following is NOT permitted as CSR expenditure?

A. Promoting education
B. Rural development projects
C. Contribution to a political party
D. Ensuring environmental sustainability

24. Giving a supplier a contract because of its quality, price and delivery record is an example of

A. Favouritism
B. Corruption
C. Nepotism
D. Fair and merit-based selection

Case: GlowCream's Promise: GlowCream advertises that its cream gives 'guaranteed fairness in seven days' and shows edited before- and-after photographs. Many buyers complain that the product did nothing. The authority created under the

Consumer Protection Act, 2019 begins an inquiry.

25. Which consumer right is mainly violated by the false claim?
A. Right to safety only
B. Right to political representation
C. Right to bargain
D. Right to be informed

26. Which of the following is a responsibility of a consumer?
A. Hiding bills
B. Checking quality marks, bills and warranty before buying
C. Ignoring labels
D. Silently accepting defective goods

27. Liberalisation means
A. Increasing licences
B. Increasing tariffs
C. Reducing government controls and restrictions on business
D. Banning imports

28. Growing health consciousness leading to higher demand for organic food is an example of a
A. Political factor
B. Social factor
C. Legal factor
D. Technological factor

29. Respecting local culture and customs while operating in a region reflects
A. Weak management
B. Cultural sensitivity
C. Cost increase
D. Legal evasion

30. Price-sensitive information must be disclosed promptly to
A. Stock exchanges
B. Competitors
C. Only the promoters
D. Only employees

31. The definition "the aggregate of all conditions, events and influences that surround and affect it" is attributed to
A. Keith Davis
B. Peter Drucker
C. Henri Fayol
D. Philip Kotler

32. The 3Rs of waste management are
A. Refuse, Return, Resell
B. Reduce, Reuse, Recycle
C. Repair, Rent, Replace
D. Reduce, Resell, Retain

33. The main objective of a socialist economy is
A. Maximum private profit
B. Unlimited competition
C. Social welfare and equitable distribution
D. Consumer sovereignty

34. Bribery of public officials in India is dealt with under the
A. Consumer Protection Act
B. Factories Act
C. Prevention of Corruption Act, 1988
D. Sale of Goods Act

35. In a capitalist economy, the means of production are mainly owned by
A. The government
B. Workers' unions
C. Foreign governments
D. Private individuals and firms

36. Favouring relatives in hiring regardless of merit is
A. Meritocracy
B. Fair selection
C. Nepotism
D. Equal opportunity

37. Shareholders have a right to receive
A. Employee salary data
B. Competitors' secrets
C. Material information about the company's performance
D. Customers' private data

Case: BuildRight and the Permit: A sales manager at BuildRight, a construction firm, pays a municipal officer a sum of money to clear a building permit quickly. A junior colleague learns of this. The company's ethics policy forbids any payment to officials for favours.

38. The law that deals with bribery of public servants in India is the:
A. Prevention of Corruption Act, 1988
B. Sale of Goods Act, 1930
C. Competition Act, 2002
D. Consumer Protection Act, 2019

39. The Industrial Policy Resolution of 1948 laid the foundation of India's
A. Pure capitalism
B. Free trade regime
C. Communist system
D. Mixed economy

Case: The Factory and the Village: An Ethical Dilemma: A factory provides jobs to 5,000 workers but its fumes harm 500 nearby villagers. Manager A says the decision should aim at the greatest good for the greatest number. Manager B says harming people is wrong whatever the outcome. Manager C asks what a person of good character would do in this situation.

40. Manager A's reasoning follows:
A. Kantian ethics
B. Utilitarianism
C. Virtue ethics
D. Ethical egoism

41. The right to seek redressal means
A. Right to reduce taxes
B. Right to refuse payment
C. Relief against unfair trade practices or unscrupulous exploitation
D. Right to start a business

42. The Food Safety and Standards Act, 2006 is enforced through the
A. SEBI
B. FSSAI
C. CPCB
D. RBI

43. Creative accounting to hide losses is mainly a failure of
A. Marketing
B. Honesty and transparency
C. Production
D. Logistics

44. The Banning of Unregulated Deposit Schemes Act was passed in

A. 1999
B. 1979
C. 2019
D. 2009

45. SEBI requires top listed companies to file the
A. Annual Cost Audit Report
B. Business Responsibility and Sustainability Report (BRSR)
C. Insolvency Report
D. Import Report

46. India became a major destination for BPO mainly because of its
A. High labour costs
B. Strict import controls
C. Skilled English-speaking workforce available at low cost
D. Closed economy

47. Fair competition in India is promoted by the
A. Competition Commission of India
B. Reserve Bank of India
C. Bureau of Indian Standards
D. Central Pollution Control Board

48. A negative social impact often attributed to LPG is
A. Universal equality of income
B. Fall in all prices
C. Complete literacy
D. Widening income inequality between rich and poor

49. In SWOT analysis, strengths and weaknesses relate to the
A. Internal environment
B. External environment
C. Macro environment
D. Political environment

50. In SWOT analysis, opportunities and threats relate to the
A. External environment
B. Internal environment
C. Organisational structure
D. Employee skills

Answer key - Set 11

1. **D**	11. **B**	21. **A**	31. **A**	41. **C**
2. **C**	12. **D**	22. **B**	32. **B**	42. **B**
3. **D**	13. **A**	23. **C**	33. **C**	43. **B**
4. **C**	14. **D**	24. **D**	34. **C**	44. **C**
5. **A**	15. **B**	25. **D**	35. **D**	45. **B**
6. **A**	16. **A**	26. **B**	36. **C**	46. **C**
7. **C**	17. **A**	27. **C**	37. **C**	47. **A**
8. **A**	18. **C**	28. **B**	38. **A**	48. **D**
9. **A**	19. **C**	29. **B**	39. **D**	49. **A**
10. **D**	20. **D**	30. **A**	40. **B**	50. **A**

Answers with explanations

1. The term "License Raj" refers to

Answer: D. Excessive licensing and controls in the pre-1991 economy

Why correct: 'License Raj' means excessive licensing and controls before 1991.

A is wrong: Free trade came after 1991.

B is wrong: Tax holidays are incentives.

C is wrong: Foreign investment rules are different.

2. Consumer law has moved away from 'caveat emptor' towards the idea that the:

Answer: C. Seller must also take responsibility ('let the seller beware')

Why correct: Modern law makes the seller responsible too - 'let the seller beware'.

A is wrong: It is not buyer alone.

B is wrong: Government does not fix all prices.

D is wrong: Sales can be challenged.

3. John Rawls' theory of justice as fairness uses the idea of the

Answer: D. Veil of ignorance

Why correct: Rawls used the 'veil of ignorance' to design fair rules.

A is wrong: The invisible hand is Adam Smith's.

B is wrong: Iron law of wages is Ricardo/Lassalle.

C is wrong: 'Social contract of profit' is not his idea.

4. Before setting up a polluting industry, a firm generally needs from the State Pollution Control Board a

Answer: C. Consent to Establish

Why correct: A polluting industry needs the State Pollution Control Board's Consent to Establish.

A is wrong: A trade licence is not enough.

B is wrong: An export licence is for exports.

D is wrong: A patent protects inventions.

5. The sector with the largest share in India's GDP now is:

Answer: A. Services

Why correct: Services now have the largest share of India's GDP.

B is wrong: Agriculture's share has fallen.

C is wrong: Mining's share is small.

D is wrong: Manufacturing is below services.

6. Mixing cheaper or harmful substances in food or goods is called

Answer: A. Adulteration

Why correct: Mixing cheaper or harmful substances is adulteration.

B is wrong: Branding names a product.

C is wrong: Packaging wraps a product.

D is wrong: Franchising licenses a business model.

7. Which of the following is typically included in a code of ethics?

Answer: C. Conflict of interest policy

Why correct: A conflict of interest policy is a typical part of a code of ethics.

A is wrong: Dividend rate is a financial decision.

B is wrong: Price list is a commercial document.

D is wrong: Sales targets are business goals.

8. The mark for agricultural produce on the honey is:

Answer: A. Agmark

Why correct: Agmark marks agricultural produce.

B is wrong: ISI marks industrial goods.

C is wrong: Hallmark marks gold.

D is wrong: Ecomark marks eco-friendly products.

9. The principle of equal pay for equal work for men and women is found in Article ___ of the Indian Constitution.

Answer: A. 39(d)

Why correct: Equal pay for equal work is Article 39(d).

B is wrong: Article 14 is equality before law.

C is wrong: Article 21A is education.

D is wrong: Article 370 is Kashmir.

10. After the reforms, the share of foreign trade in India's GDP

Answer: D. Increased

Why correct: Trade reforms raised the share of foreign trade in GDP.

A is wrong: It did not decrease.

B is wrong: It did not stay unchanged.

C is wrong: It did not become zero.

11. The repo rate is the rate at which

Answer: B. The RBI lends short-term funds to commercial banks

Why correct: Repo rate is the rate at which RBI lends short-term to banks.

A is wrong: Banks lending to the public is the lending rate.

C is wrong: RBI borrowing from banks is the reverse repo.

D is wrong: Interbank lending is the call rate.

12. Under this law, the firm must set up an:

Answer: D. Internal Committee

Why correct: The Act requires an Internal Committee in firms with ten or more employees.

A is wrong: An Audit Committee oversees accounts.

B is wrong: A Marketing Committee is not required.

C is wrong: A Merger Committee is not required.

13. GST replaced several indirect taxes such as

Answer: A. Excise duty, VAT and service tax

Why correct: GST subsumed excise duty, VAT and service tax among other indirect taxes.

B is wrong: Corporate tax and wealth tax are direct taxes.

C is wrong: Stamp duty and income tax were not both replaced.

D is wrong: Customs duty and corporate tax were not replaced.

14. The CSR provisions of the Companies Act came into effect in India from

Answer: D. 1 April 2014

Why correct: CSR provisions took effect on 1 April 2014.

A is wrong: 2013 is wrong.

B is wrong: 2016 is wrong.

C is wrong: 2015 is wrong.

15. When senior managers consistently model honest behaviour so that employees follow, it is called

Answer: B. Ethical leadership

Why correct: Leaders who model honest conduct show ethical leadership.

A is wrong: Autocratic leadership decides alone.

C is wrong: Laissez-faire gives little guidance.

D is wrong: Bureaucracy is rule-bound.

16. The rapid rise in rural smartphone use is a:

Answer: A. Technological factor

Why correct: Smartphone use is a technology trend.

B is wrong: It is not political.

C is wrong: It is not legal.

D is wrong: It is not economic only.

17. The CEO's stand is closest to:

Answer: A. Stakeholder theory

Why correct: Caring for employees, patients and community is the stakeholder theory.

B is wrong: Pure shareholder theory is the shareholders' view.

C is wrong: Profit-only is the shareholders' view.

D is wrong: Scientific management is about efficiency.

18. Procedural justice means

Answer: C. Using fair processes in making decisions

Why correct: Procedural justice means fair processes in decisions.

A is wrong: Equal pay is distributive.

B is wrong: Punishing offenders is retributive.

D is wrong: Paying taxes is a duty.

19. The Institute of Chartered Accountants of India issues a Code of Ethics for its

Answer: C. Members

Why correct: ICAI's Code of Ethics binds its members.

A is wrong: Customers are not members.

B is wrong: Suppliers are not members.

D is wrong: Competitors are not members.

20. The regulator whose listing rules the company follows is:

Answer: D. SEBI

Why correct: SEBI frames listing rules.

A is wrong: RBI regulates banks.

B is wrong: TRAI regulates telecom.

C is wrong: IRDAI regulates insurance.

21. A restrictive trade practice is one that

Answer: A. Manipulates price or delivery conditions to impose unjustified costs on consumers

Why correct: A restrictive trade practice manipulates price or delivery to impose unjustified costs.

B is wrong: Lower prices help customers.

C is wrong: Free samples are promotion.

D is wrong: Genuine discounts are fair.

22. The company's practice of open disclosure reflects:

Answer: B. Transparency

Why correct: Open disclosure reflects transparency.

A is wrong: It is not secrecy.

C is wrong: It is not greenwashing.

D is wrong: It is not cost cutting.

23. Which of the following is NOT permitted as CSR expenditure?

Answer: C. Contribution to a political party

Why correct: Contributions to political parties are barred from CSR.

A is wrong: Education is allowed.

B is wrong: Rural development is allowed.

D is wrong: Environmental sustainability is allowed.

24. Giving a supplier a contract because of its quality, price and delivery record is an example of

Answer: D. Fair and merit-based selection

Why correct: Choosing a supplier on quality, price and delivery record is fair, merit-based selection.

A is wrong: Favouritism picks friends.

B is wrong: Corruption takes bribes.

C is wrong: Nepotism picks relatives.

25. Which consumer right is mainly violated by the false claim?

Answer: D. Right to be informed

Why correct: A false claim violates the right to be informed.

A is wrong: Safety is not the main issue.

B is wrong: Political representation is unrelated.

C is wrong: Bargaining is unrelated.

26. Which of the following is a responsibility of a consumer?

Answer: B. Checking quality marks, bills and warranty before buying

Why correct: A consumer should check quality marks, bills and warranty.

A is wrong: Hiding bills weakens claims.

C is wrong: Ignoring labels is careless.

D is wrong: Accepting defects silently loses rights.

27. Liberalisation means

Answer: C. Reducing government controls and restrictions on business

Why correct: Liberalisation reduces government controls on business.

A is wrong: Licences were reduced.

B is wrong: Tariffs were reduced.

D is wrong: Imports were freed.

28. Growing health consciousness leading to higher demand for organic food is an example of a

Answer: B. Social factor

Why correct: Health consciousness is a change in society's attitudes - a social factor.

A is wrong: Political concerns government.

C is wrong: Legal concerns law.

D is wrong: Technological concerns technology.

29. Respecting local culture and customs while operating in a region reflects

Answer: B. Cultural sensitivity

Why correct: Respecting local culture is cultural sensitivity.

A is wrong: It is strength, not weak management.

C is wrong: It is not mainly a cost increase.

D is wrong: It is not evasion.

30. Price-sensitive information must be disclosed promptly to

Answer: A. Stock exchanges

Why correct: Price-sensitive information must be disclosed promptly to stock exchanges.

B is wrong: Competitors are not the audience.

C is wrong: Only promoters would be unfair.

D is wrong: Only employees would be unfair.

31. The definition "the aggregate of all conditions, events and influences that surround and affect it" is attributed to

Answer: A. Keith Davis

Why correct: Keith Davis defined environment as the aggregate of all conditions, events and influences around a business.

B is wrong: Drucker is known for management by objectives.

C is wrong: Fayol is known for the 14 principles of management.

D is wrong: Kotler is known for marketing.

32. The 3Rs of waste management are

Answer: B. Reduce, Reuse, Recycle

Why correct: The 3Rs are Reduce, Reuse, Recycle.

A is wrong: Refuse, Return, Resell is not the standard.

C is wrong: Repair, Rent, Replace is not the standard.

D is wrong: Reduce, Resell, Retain is not the standard.

33. The main objective of a socialist economy is

Answer: C. Social welfare and equitable distribution

Why correct: Socialism aims at social welfare and equitable distribution.

A is wrong: Maximum private profit is capitalist.

B is wrong: Unlimited competition is capitalist.

D is wrong: Consumer sovereignty is capitalist.

34. Bribery of public officials in India is dealt with under the

Answer: C. Prevention of Corruption Act, 1988

Why correct: Bribery of public officials is dealt with under the Prevention of Corruption Act, 1988.

A is wrong: Consumer Act is for consumers.

B is wrong: Factories Act is for factories.

D is wrong: Sale of Goods Act is for sales.

35. In a capitalist economy, the means of production are mainly owned by

Answer: D. Private individuals and firms

Why correct: In capitalism the means of production are owned by private individuals and firms.

A is wrong: State ownership is socialism.

B is wrong: Unions do not own the means of production.

C is wrong: Foreign governments do not own them.

36. Favouring relatives in hiring regardless of merit is

Answer: C. Nepotism

Why correct: Favouring relatives regardless of merit is nepotism.

A is wrong: Meritocracy rewards merit.

B is wrong: Fair selection is by merit.

D is wrong: Equal opportunity is open to all.

37. Shareholders have a right to receive

Answer: C. Material information about the company's performance

Why correct: Shareholders have the right to material information about performance.

A is wrong: Employee salary data is confidential.

B is wrong: Competitors' secrets are not theirs.

D is wrong: Customers' private data is protected.

38. The law that deals with bribery of public servants in India is the:

Answer: A. Prevention of Corruption Act, 1988

Why correct: The Prevention of Corruption Act, 1988 covers bribery of public servants.

B is wrong: The Sale of Goods Act is about sales.

C is wrong: The Competition Act is about markets.

D is wrong: The Consumer Act is about consumers.

39. The Industrial Policy Resolution of 1948 laid the foundation of India's

Answer: D. Mixed economy

Why correct: The 1948 resolution laid the foundation of India's mixed economy.

A is wrong: It was not pure capitalism.

B is wrong: It was not free trade.

C is wrong: It was not communism.

40. Manager A's reasoning follows:

Answer: B. Utilitarianism

Why correct: Greatest good for the greatest number is utilitarianism.

A is wrong: Kantian ethics is duty based.

C is wrong: Virtue ethics is about character.

D is wrong: Ethical egoism favours self-interest.

41. The right to seek redressal means

Answer: C. Relief against unfair trade practices or unscrupulous exploitation

Why correct: Right to redressal gives relief against unfair practices and exploitation.

A is wrong: Tax reduction is not it.

B is wrong: Refusing payment is not it.

D is wrong: Starting a business is not it.

42. The Food Safety and Standards Act, 2006 is enforced through the

Answer: B. FSSAI

Why correct: FSSAI enforces the Food Safety and Standards Act.

A is wrong: SEBI regulates securities.

C is wrong: CPCB handles pollution.

D is wrong: RBI regulates banks.

43. Creative accounting to hide losses is mainly a failure of

Answer: B. Honesty and transparency

Why correct: Creative accounting to hide losses fails honesty and transparency.

A is wrong: It is not a marketing failure.

C is wrong: It is not production.

D is wrong: It is not logistics.

44. The Banning of Unregulated Deposit Schemes Act was passed in

Answer: C. 2019

Why correct: The Banning of Unregulated Deposit Schemes Act was passed in 2019.

A is wrong: 1999 is wrong.

B is wrong: 1979 is wrong.

D is wrong: 2009 is wrong.

45. SEBI requires top listed companies to file the

Answer: B. Business Responsibility and Sustainability Report (BRSR)

Why correct: SEBI requires top listed firms to file the BRSR.

A is wrong: Cost audit report is a Companies Act filing.

C is wrong: Insolvency report is under the IBC.

D is wrong: Import report is not a SEBI filing.

46. India became a major destination for BPO mainly because of its

Answer: C. Skilled English-speaking workforce available at low cost

Why correct: India's skilled English-speaking low-cost workforce attracted BPO.

A is wrong: Labour is cheap, not costly.

B is wrong: Import controls do not help BPO.

D is wrong: The economy opened, not closed.

47. Fair competition in India is promoted by the

Answer: A. Competition Commission of India

Why correct: The CCI promotes fair competition.

B is wrong: RBI regulates banks.

C is wrong: BIS sets standards.

D is wrong: CPCB controls pollution.

48. A negative social impact often attributed to LPG is

Answer: D. Widening income inequality between rich and poor

Why correct: A negative impact is widening inequality between rich and poor.

A is wrong: Equality did not become universal.

B is wrong: Not all prices fell.

C is wrong: Literacy is not complete.

49. In SWOT analysis, strengths and weaknesses relate to the

Answer: A. Internal environment

Why correct: Strengths and weaknesses are internal.

B is wrong: External relates to O and T.

C is wrong: Macro is external.

D is wrong: Political is external.

50. In SWOT analysis, opportunities and threats relate to the

Answer: A. External environment

Why correct: Opportunities and threats come from outside the firm.

B is wrong: Internal relates to S and W.

C is wrong: Structure is internal.

D is wrong: Employee skills are internal.